Prescription Drug Benefits (cont.)

- **Compound Medication:** A compound drug is a medication made by combining, mixing or altering ingredients in response to a prescription, to create a customized drug that is not otherwise commercially available. Some ingredients often found in compounds including, but not limited to, over the counter (OTC) products, experimental or investigational agents, bulk powders, bulk chemicals, and certain bases, are not covered through the prescription benefit. Coverage for other ingredients commonly found in compound prescriptions may also **require preauthorization** before coverage is allowed.
  - Claim pricing is based on the contractual discounts plus a professional fee and any applicable sales tax. Pharmacies must submit all ingredients in a compound prescription for online and paper claim submissions. At least one of the ingredients must require a physician's prescription in order to be covered by the Plan. You are responsible for the appropriate brand or generic coinsurance based on the ingredients. **Preauthorization may be required.** If the compound includes an experimental or investigational drug, the compound will not be covered. Compound medications are limited to a 30-day supply.
  - Ask the pharmacist to submit your claim electronically or online. If the retail pharmacy is unable to submit the compound medication claim electronically to CVS Caremark, you will pay the full cost of the medication and must submit the claim for reimbursement. Make sure the pharmacy provides a list of the National Drug Codes (NDCs), quantity and cost for every ingredient in the compound medication and include this information on your claim.
  - Mail the claim to CVS Caremark, PO Box 52136, Phoenix, AZ 85072-2136 or submit for reimbursement online via Caremark web portal geha.com/Prescriptions-Summary or Caremark mobile app (available for Android and Apple).
  - Claim calculations, coinsurance, and reimbursement for direct claims are performed using an industry standard reimbursement method for compounds.

Prescription Drug Tiers

- We divide prescription drugs into categories or tiers: generic, preferred, and non-preferred medications. Please note specialty medications can be considered either preferred or non-preferred. When an approved generic equivalent is available, that is the drug you will receive, unless you or your physician specifies the prescription must be dispensed as written. When an approved generic equivalent is not available, you will pay the applicable plan coinsurance for the medications dispensed. If an approved generic equivalent is available, but you or your physician specifies that the prescription must be dispensed as written with the brand name medication, you will pay the generic coinsurance plus the difference between the cost of the generic drug and the brand name drug dispensed. Your physician may request the brand name drug be reviewed, and if approved as medically necessary, you will pay the applicable brand name coinsurance.
  - **Generic drugs** are FDA approved prescription medications. They are chemically and therapeutically equivalent to the corresponding brand name drug but are available at a lower price. The FDA requires that generic equivalent medications contain the same active ingredients and be equivalent in strength and dosage to brand name drugs.
  - **Preferred drugs** are FDA approved prescription medications included on the Preferred Drug List developed by CVS Caremark. This list is developed by an independent panel of doctors and pharmacists who ensure the medications are clinically appropriate and cost-effective.
  - **Non-Preferred drugs** are FDA approved prescription medications that are covered by G.E.H.A, however they are not included on the CVS Caremark Preferred Drug List. Most commonly utilized medications have generic or preferred medications available.